

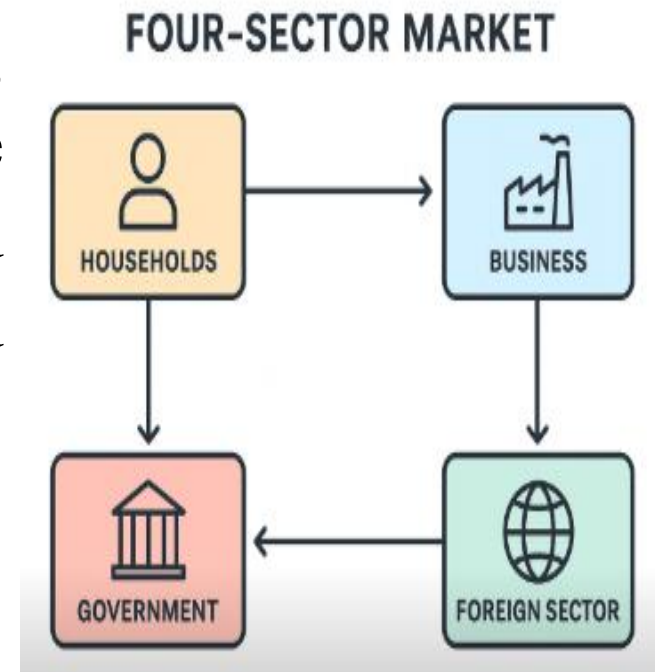
The Circular Flow Model

How Things Work in a
Mixed-Market Economic System

Economics

Economics is the social science that studies how people, businesses, and governments make choices about the use of limited resources to satisfy unlimited wants and needs.

- **Two-sector:** Households + Firms (closed economy)
- **Three-sector:** Adds Government (mixed economy)
- **Four-sector:** Adds Foreign Trade (open economy)



Macro and Micro economics

Basis of Difference	Microeconomics	Macroeconomics
1. Meaning	Studies individual economic units such as households, firms, and industries.	Studies the economy as a whole, including national income, employment, and growth.
2. Scope	Concerned with demand, supply, prices, and output of individual products or markets.	Concerned with aggregate demand, aggregate supply, total output, and overall price levels.
3. Objective	To determine prices and allocate resources efficiently.	To achieve economic stability and growth in the overall economy.
4. Type of Analysis	Deals with individual or partial equilibrium .	Deals with aggregate or general equilibrium .
5. Example	Studying how a rise in the price of tea affects its demand.	Studying how inflation affects a nation's economy.

In our economic system there are two sectors

1. The business sector and
2. the household sector



Households



- Demand consumer goods, like: cars, computers, washers, lawnmowers, etc.
- Households provide labor resources to business and own most of the resources of production

Businesses

- Produce and supply goods and services
- Businesses demand resources for production: land, labor, capital, and entrepreneurs



These two sectors interact in two markets:
the Product Market and the Factor Market



Product Markets

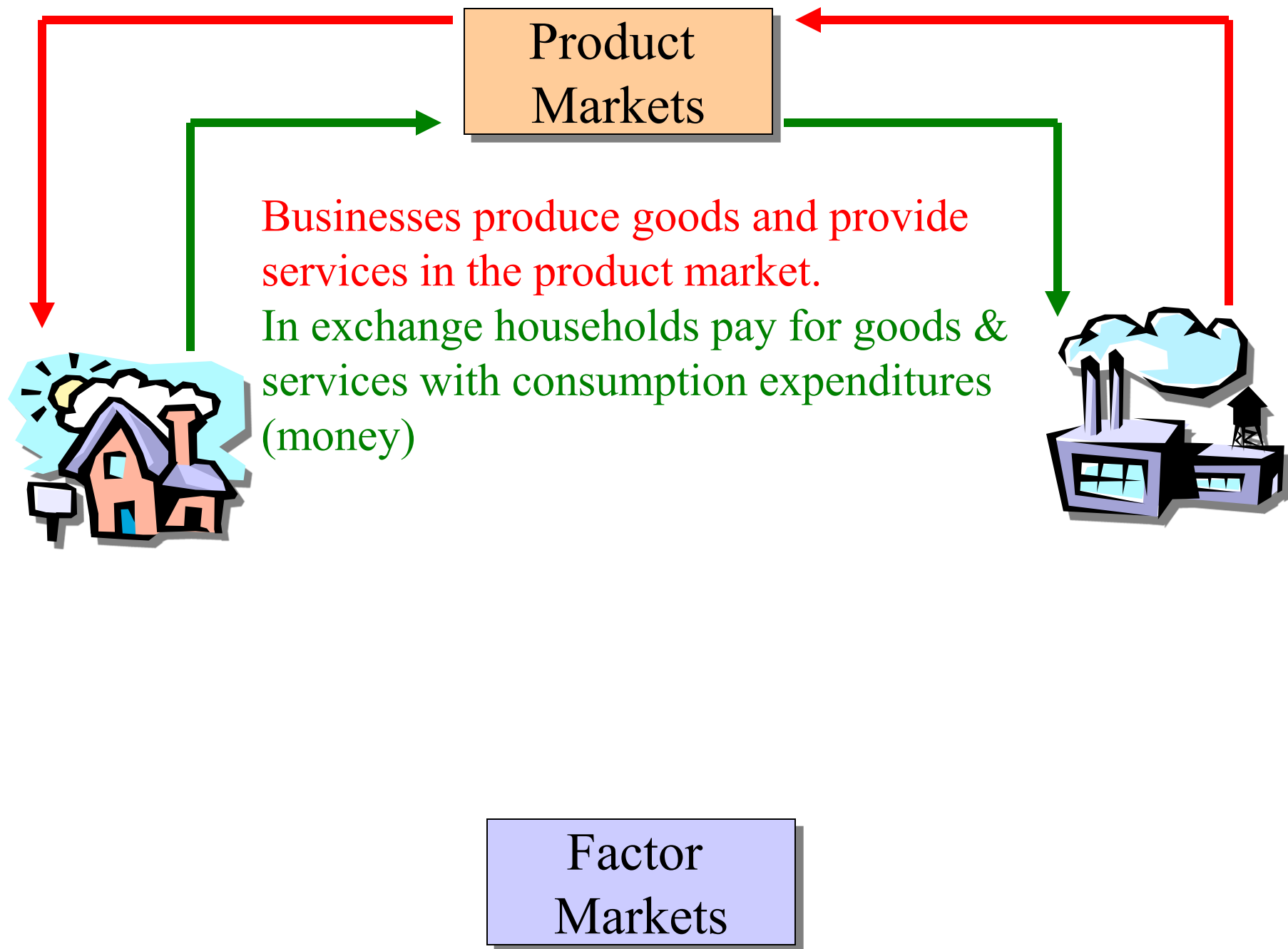
- are the markets where households acquire finished (consumer) goods & services.
- The markets we are most familiar with are retail markets.
- Examples include: Wal-Mart, gas stations, Burger King, Best Buy, the dentist.

Product Markets



Factor Markets

- are the markets where business acquire the factors of production (land, labor, capital..)
- When you are looking for a job you are in the factor (labor) market.
- Examples include: IBM Business Solutions, Snelling Personnel



Product Markets

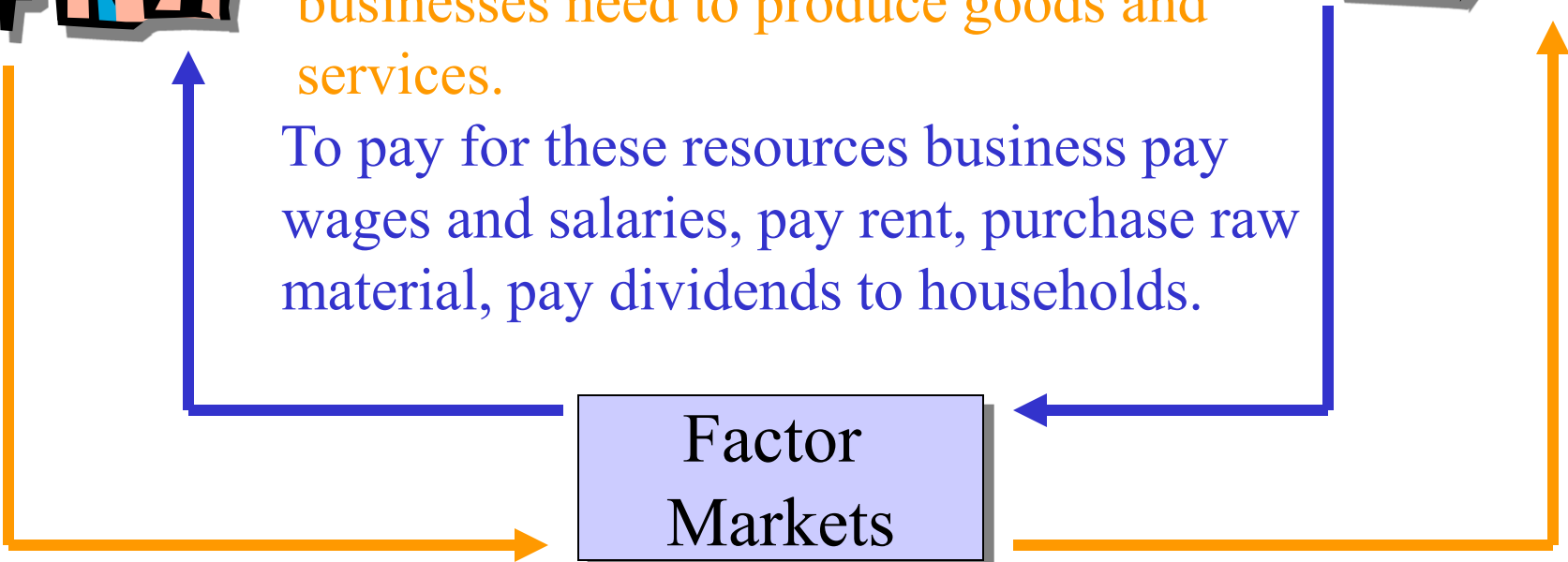


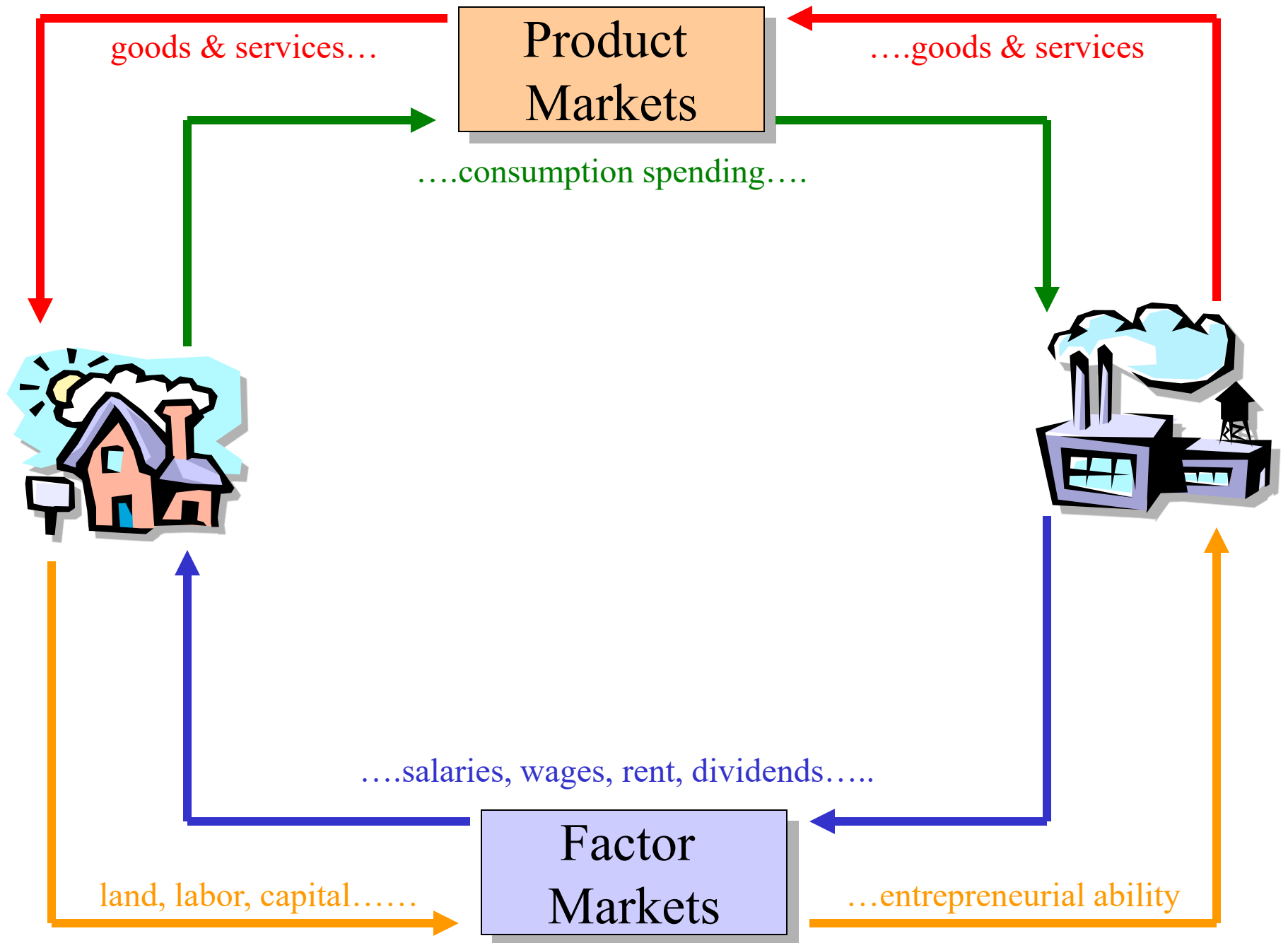
Households provide labor, own land, invest in capital and have the talent businesses need to produce goods and services.

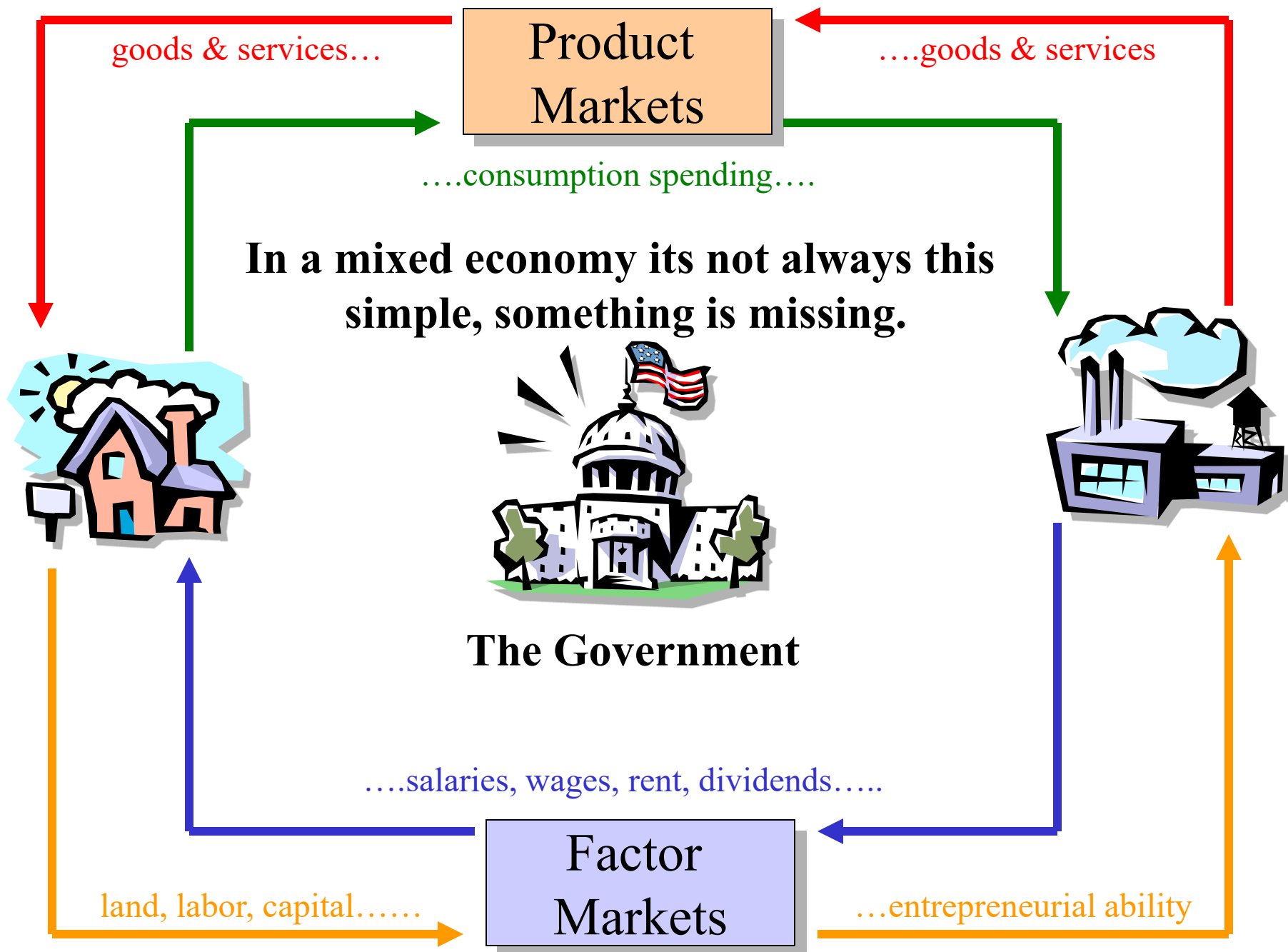
To pay for these resources business pay wages and salaries, pay rent, purchase raw material, pay dividends to households.



Factor Markets



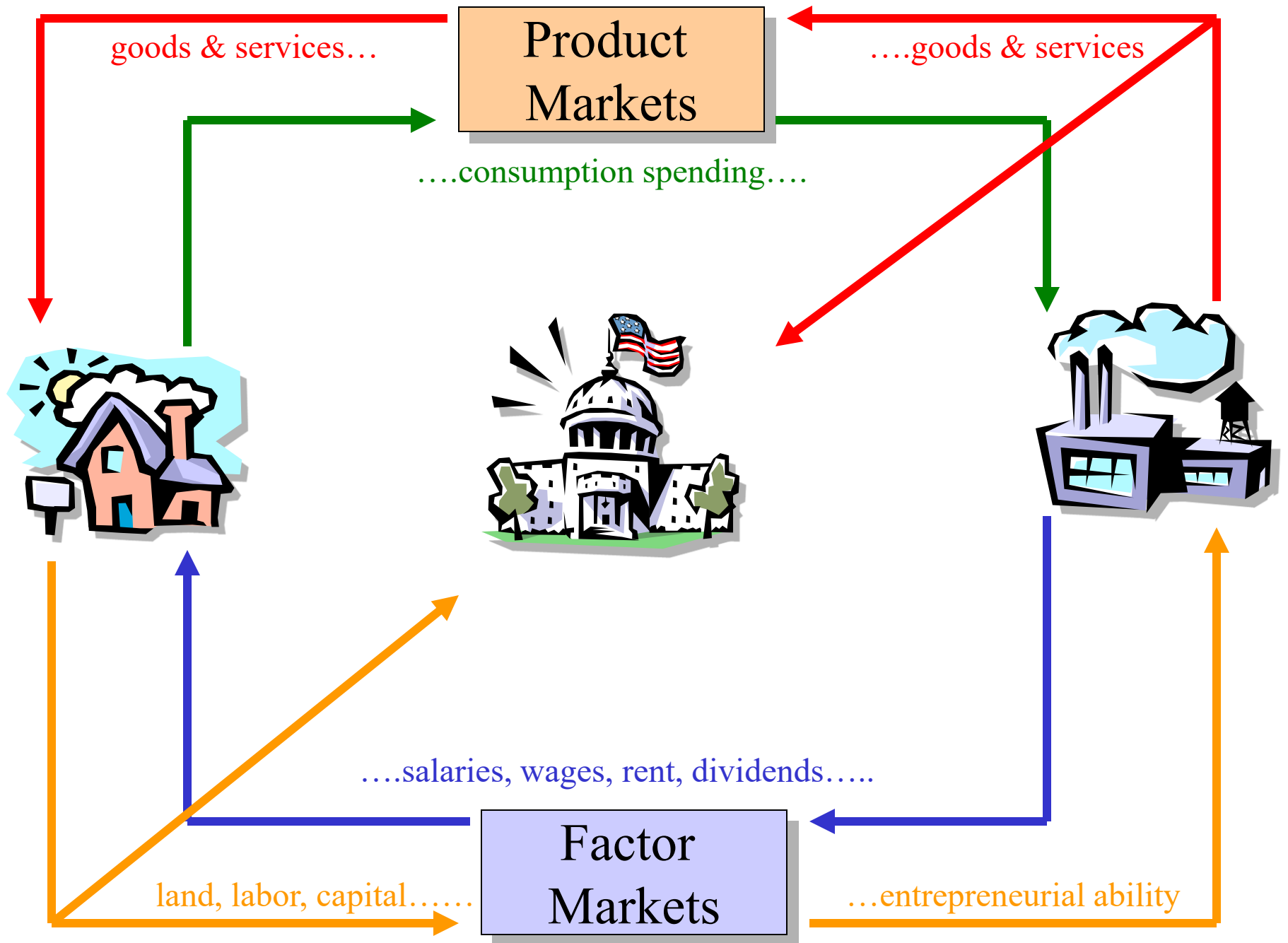


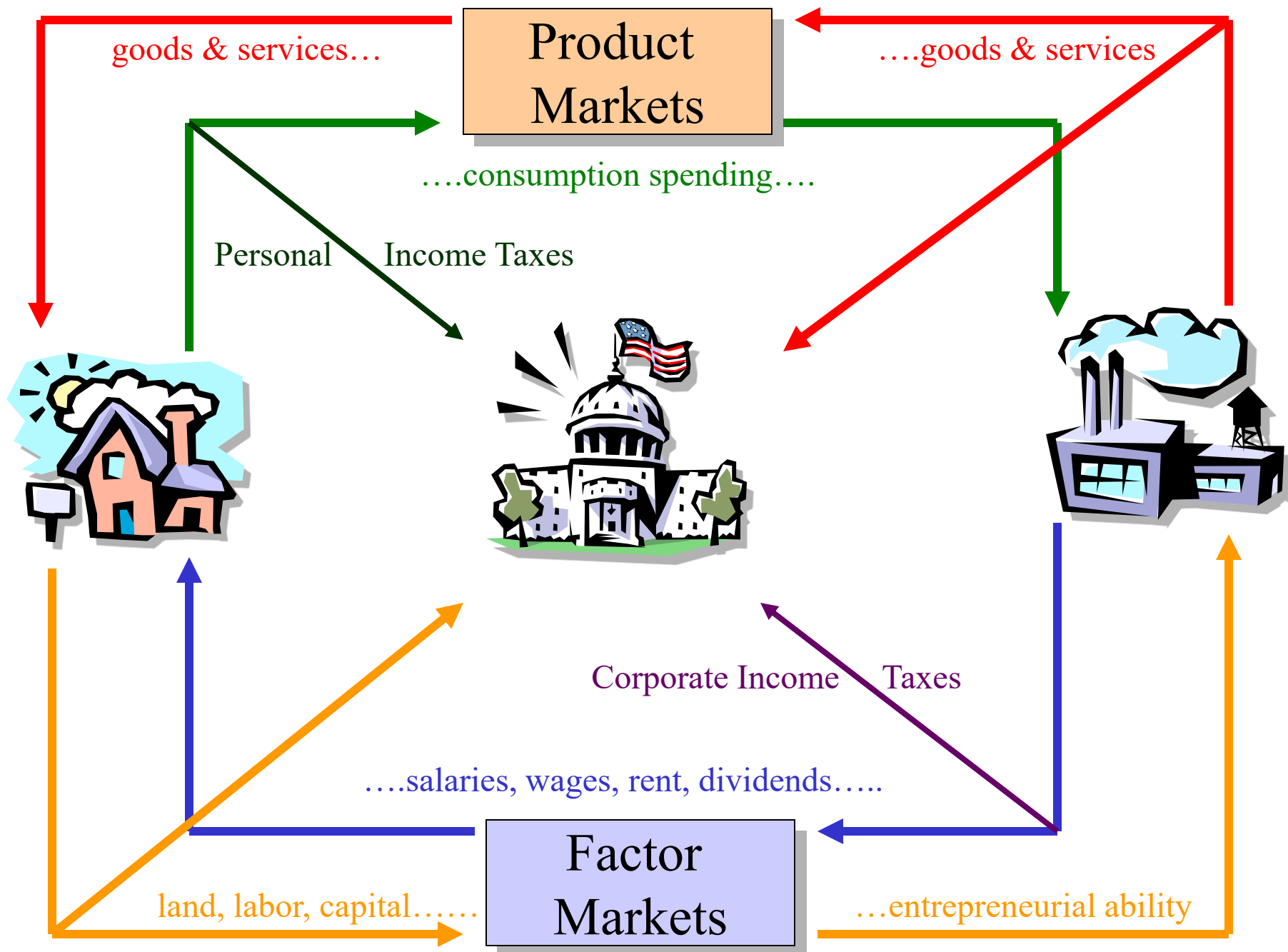


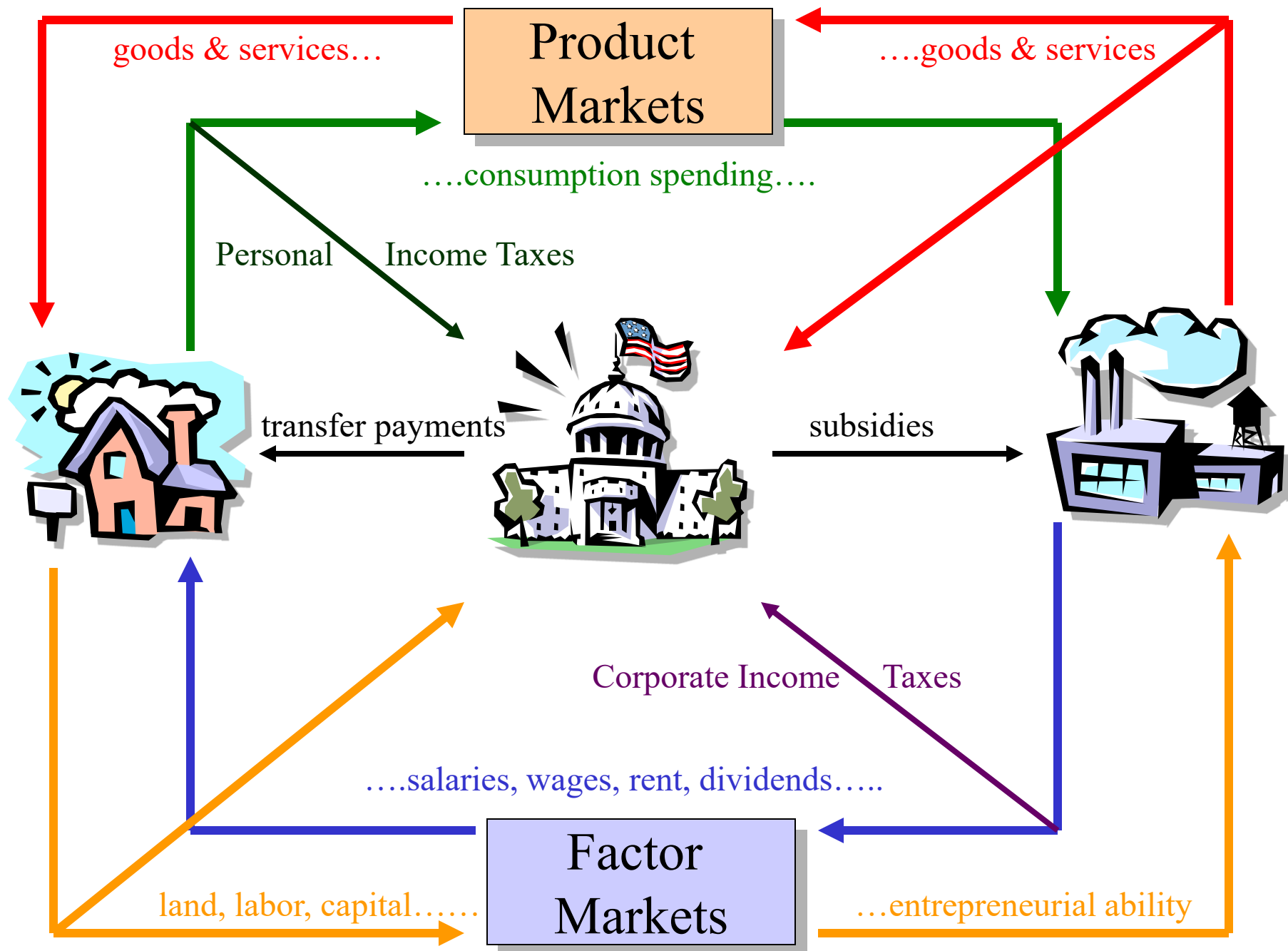
Governments

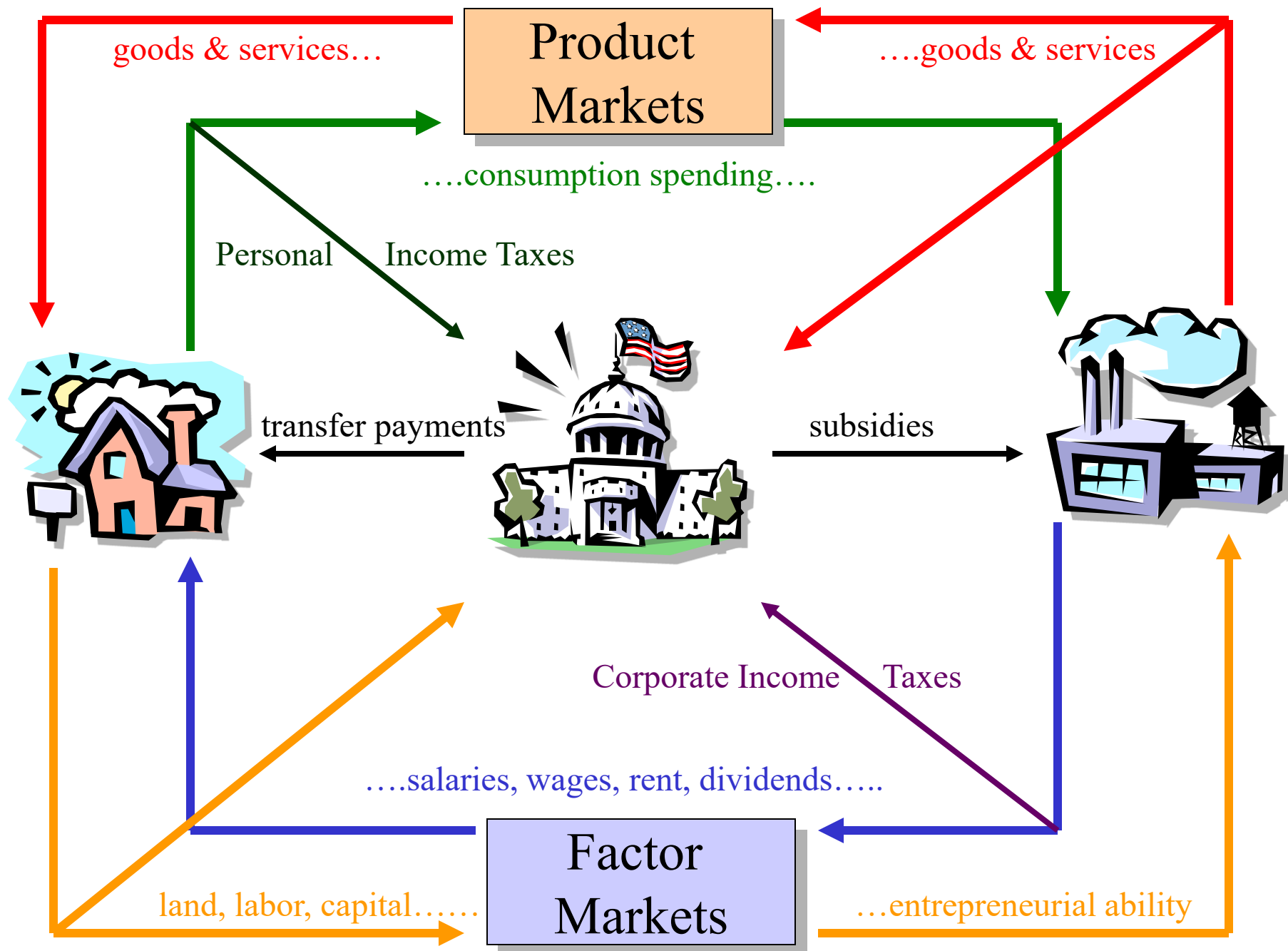


- Federal, State, & Local
- Governments require resources to provide services
- To purchase these resources governments collect taxes
- Government spending makes up 20% of GDP









Any Questions?

Are you sure???